NewsBank inc.

# Endorsement: Prop 2 could help California be more fiscally responsible — if our politicians bother to use it

October 15, 2026 | San Francisco Chronicle: Web Edition Articles (CA)
Author: Chronicle Editorial Board | Section: Opinion | 1044 Words
OpenURL Link

What would you do if you suddenly found yourself flush with an unexpected cash windfall?

Would you run out and treat yourself to something expensive and irresponsible? Or would you pay off your debts and sock the extra money away for a rainy day?

Proposition 2, which Democratic state lawmakers (and one Republican) placed on California's November ballot, would encourage California to take the latter approach with its budget.

Understanding how requires a bit of backstory.

California's budget relies heavily on a progressive tax structure; 1% of the richest taxpayers account for 50% of the state's income taxes.

But this structure is volatile. If the stock market takes a hit, so do California's tax revenues and the critical programs they fund — including schools, which account for a huge portion of the state's budget since the passage of Proposition 13, the 1978 measure that limited local governments' ability to raise property taxes.

When revenues nosedive, lawmakers at all levels of government typically ask voters to approve tax increases at the ballot box — when they can least afford them.

On the flip side, when the stock market is booming, California is constrained by the Gann Limit, an obscure rule that prevents the state from spending more per taxpayer than it did in 1979 — the year voters approved the measure — once adjusted for inflation. Any money the state collects over the limit must be refunded to taxpayers or spent on certain purposes, such as infrastructure or education.

In 2014, voters approved a ballot measure that stabilized this budget chaos. It did three main things:

First, it required the state to set aside 1.5% of general fund tax revenue each year. Second, whenever the state collected especially high capital gains tax revenue, it required some of that money to be set aside. Third, it directed the state to put half the combined funds in a rainy-day savings account and use the other half to make additional payments on long-term retiree healthcare and pension debt through 2030.

These rules "substantially improved" California's reserve policy, according to the nonpartisan Legislative Analyst's Office, permitting the state's savings account to go from basically zilch to $23 billion.

But it wasn't nearly sufficient to smooth out the state's budget volatility.

The 2014 measure capped the rainy-day fund at 10% of the general fund — only enough to cover about one-third of likely shortfalls during the next 50 years, the Legislative Analyst's Office concluded after running thousands of simulations.

To make up the difference, California would have to cut core services during every economic downturn or raise taxes.

Neither are good options.

Prop 2, which was inspired by the Legislative Analyst's Office research, is designed to create conditions for a stabler budget.

The measure would double California's reserve cap to 20% of general fund dollars and direct the state to save an even larger share of capital gains windfalls. It would also require California to keep making additional debt payments through 2040 and permit funds set aside for this purpose to be spent on a wider variety of debts, including repaying loans from the federal government and state special funds that backfilled holes in the general fund.

These provisions aren't particularly controversial. Even Republican Assembly Member David Tangipa of Fresno, a Prop 2 opponent, acknowledged to the editorial board that "I supported quite a bit of the measure."

The sticking point for him and others who oppose Prop 2 centers on the Gann Limit.

Currently, depositing money into the rainy-day fund counts as "spending" under the Gann Limit. Ironically, this can discourage lawmakers from putting money into reserves in good budget years — which is precisely when they should be socking funds away.

Prop 2 would change that calculus by counting withdrawals from the account as spending under the Gann Limit — leaving lawmakers with fewer excuses for not filling the rainy-day fund during boom years.

Tangipa argued that this "takes away the ability to actually reimburse the taxpayers money that belongs to them."

But padding the rainy-day fund in flush budget years arguably saves taxpayers money in the long run by increasing stability and decreasing the likelihood of taxes in down years. The Legislative Analyst's Office described the proposed accounting tweak as "reasonable."

If used to the fullest extent, Prop 2 could improve California's budget stability, permitting the state to cover about 50% of funding shortfalls in the next 50 years.

That's better than the 30% it can cover now. Still, Prop 2 is a far cry from the model the Legislative Analyst's Office recommended: raising California's reserve cap to 50% by 2055, either by establishing more robust deposit rules or setting aside much more capital gains tax revenue in especially flush years.

This framework, the analyst's office found, would allow the state to absorb 75% of funding shortfalls in the next 50 years.

Lawmakers considered the 50% cap, but "we realized that was not going to be an achievable level, both politically and from a policy perspective," Assembly Member Jesse Gabriel, D-Encino (Los Angeles County), and Prop 2's author, told the editorial board.

Nevertheless, he said, Prop 2 is one of the most "concrete and achievable" things "we can do in the near term that would put California on stronger financial footing."

The catch, Gabriel acknowledged: "You still need responsible decision-makers."

In other words, Prop 2 is effectively useless if politicians don't exercise fiscal prudence.

Prop 2's deposit and withdrawal rules can be waived during a natural disaster or if the governor and Legislature declare a fiscal emergency — and the state's criteria for one are farcical.

Case in point: California's revenue is currently booming amid an overheated stock market, but Gov. Gavin Newsom and the Legislature have declared multiple fiscal emergencies in recent years — postponing deposits into the rainy-

day fund, pulling billions of dollars out of reserves and raising taxes on everyday Californians to maintain $100 billion in spending growth.

"There are natural political incentives to spend when you have a lot of money," Gabriel admitted. Prop 2 won't necessarily curb those, but if used appropriately, it could improve California's budget resilience and make it harder for lawmakers to justify reckless spending during good years — and then beg voters for more money when the economy turns south.

Voters should pass Prop 2 and hold lawmakers accountable to their promise to be more responsible stewards of taxpayer money.

Reach the Chronicle editorial board with a letter to the editor:www.sfchronicle.com/submit-your-opinion.

© Copyright 2026 San Francisco Chronicle. All rights reserved.


- **Citation (apa Style)**
  Editorial Board, C. (2026, October 15). Endorsement: Prop 2 could help California be more fiscally responsible — if our politicians bother to use it. *San Francisco Chronicle: Web Edition Articles (CA)*. Available from NewsBank: Access World News – Historical and Current: https://infoweb.newsbank.com/apps/news/document-view?p=WORLDNEWS&docref=news/1AB4366CA5C8AF08.